

E059

Legal, Ethical, and Cultural Considerations in Project Management

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

Source. Scope from the course's public description in the WGU Institutional Catalog (September 2026); items written from the field's standard body of knowledge. No WGU assessment item, course material or proprietary content is used or reproduced. Not affiliated with or endorsed by Western Governors University.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

Items

1.

A city hires a vendor to build a well-defined permit website for a fixed price of \$250,000. The vendor's lead developer was once a city employee. Midway through, the vendor's labor costs rise 20%. Who absorbs the cost increase?

- A. The vendor, because a fixed-price contract puts cost risk on the seller.
- B. The city, because the buyer always pays actual costs.
- C. The city, because the lead developer used to work there.
- D. They split it evenly.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2. [TRANSFER — reversed stem / different variable]

A buyer wants to minimize its own cost risk. Which contract type fits, and what must be true of the scope?

- A. Time and materials, because hourly rates are fixed.
- B. Firm fixed price, with a well-defined scope.
- C. Cost-plus-fixed-fee, with a loosely defined scope.
- D. Fixed price, always, even when scope is unknown.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3.

A healthcare client asks the project team to skip a privacy-impact review so it can launch in time for a trade show in Las Vegas. The review is required by regulations the client operates under. The client is the firm's largest account. What should the project manager do?

- A. Skip it but document the client's instruction to shift liability.
- B. Refuse all further work for this client.
- C. Keep the review in scope, explain the legal requirement, and replan schedule or scope around it.
- D. Skip it, since the largest client's wishes come first.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4.

A project manager sits on a panel scoring vendor bids. One bidder is owned by her brother-in-law. She is confident she can be fair and has 12 years of procurement experience. What should she do?

- A. Score fairly and say nothing; her experience ensures objectivity.
- B. Disclose it but keep scoring all bids as usual.
- C. Score her relative's bid lower to avoid looking biased.
- D. Disclose the relationship and step away from scoring.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5.

A project is three weeks behind. The project manager's supervisor, who is up for promotion next month, asks her to report it as green to the steering committee. The office is moving to a new floor. What should the project manager do?

- A. Report the true status with a recovery plan.
- B. Report yellow as a compromise.
- C. Report green, because a supervisor's instruction always shifts responsibility upward.
- D. Report green now and correct it next month.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6.

A project manager from a highly individualistic culture leads a team from a strongly collectivist culture. She plans to motivate them by publicly naming one "top performer" each week. The team works in a newly renovated office near the harbor. What is the likely problem?

- A. The problem is power distance: they want the manager to make every decision.
- B. No problem, since public praise motivates everyone.
- C. Singling out individuals may embarrass members who value group harmony; team-based recognition would fit better.
- D. The team will want even more individual competition.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7. [TRANSFER — reversed stem / different variable]

Which behavior is most typical of a highly individualistic culture?

- A.** Messages rely heavily on context and unstated meaning.
- B.** Employees expect recognition for personal achievements and speak for themselves.
- C.** Employees defer to senior managers without questioning.
- D.** Decisions are made mainly to preserve group harmony.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8.

A project manager emails a partner team in a high-context culture: “Your deliverable is late and unacceptable.” The partner team's lead has a doctorate in engineering. The partners go quiet. What most likely went wrong?

- A.** The lead's doctorate means he expected more technical detail.
- B.** Email always fails across cultures.
- C.** The blunt message may have caused loss of face; high-context cultures rely on indirect wording and relationship.
- D.** The message was not direct enough.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

9. [TRANSFER — reversed stem / different variable]

A stakeholder from a low-context culture is most likely to prefer which kind of message?

- A.** Messages that avoid saying “no” directly.
- B.** Meaning conveyed through relationship and implied cues.
- C.** Long relationship-building dinners before any business talk.
- D.** Explicit written requirements with exact dates and numbers.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

10.

A project manager runs a retrospective with a team from a high-power-distance culture and asks junior members to openly critique the senior architect's design. The meeting is held on a video platform the company adopted last year. No one speaks. What would likely work better?

- A. Require every junior member to criticize in public, since open critique always works best.
- B. Switch to a different video platform.
- C. Treat the silence as agreement and move on.
- D. Collect input anonymously or in small groups first, and have the senior architect invite critique.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11. [TRANSFER — reversed stem / different variable]

In a low-power-distance culture, how are employees most likely to relate to managers?

- A. They expect clear orders and rarely question them.
- B. They expect to be consulted and feel free to question decisions.
- C. They put group loyalty ahead of individual views.
- D. They avoid ambiguity and want detailed rules.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12.

During contract negotiations abroad, a vendor offers the project manager an expensive watch “as a local custom of hospitality.” The vendor's headquarters is in a historic district. The project manager's company caps gifts at \$50. What should the project manager do?

- A. Politely decline or report it per policy, since it exceeds the cap and could influence the award.
- B. Refuse all hospitality of any kind, even a cup of tea.
- C. Accept and give the vendor a gift of equal value in return.
- D. Accept, because it is a local custom.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer A Concept 1

A city hires a vendor to build a well-defined permit website for a fixed price of \$250,000. ~~The vendor's lead developer was once a city employee.~~ Midway through, the vendor's labor costs rise 20%. Who absorbs the cost increase?

Target word: who bears cost risk **Decides:** Fixed-price contract.

A	Correct	The price is fixed regardless of the seller's costs.
B	Inverted operation	That describes cost-reimbursable contracts.
C	Camouflage	Past employment does not change the contract terms.
D	Adjacent category	Sharing formulas belong to incentive contracts, not firm fixed price.

2. Answer B Concept 1 • transfer

A buyer wants to minimize its own cost risk. Which contract type fits, and what must be true of the scope?

Target word: work backward from goal to contract type **Decides:** Buyer risk is lowest under fixed price, which needs clear scope.

A	Confusion set	Fixed rates do not cap total hours; the buyer still carries risk.
B	Correct	The seller bears cost risk, which is only workable when scope is clear.
C	Inverted operation	Puts cost risk on the buyer.
D	Absolute language	Unclear scope on fixed price leads to disputes and padded bids.

3. Answer C Concept 2

A healthcare client asks the project team to skip a privacy-impact review so it can launch in time ~~for a trade show in Las Vegas.~~ The review is required by regulations the client operates under. ~~The client is the firm's largest account.~~ What should the project manager do?

Target word: response to a request to skip a legal requirement **Decides:** The review is legally required.

A	Adjacent category	Documentation does not remove the legal obligation.
B	Absolute language	The right move is to comply and replan, not end the relationship.
C	Correct	Compliance is a constraint; other factors adjust.
D	Camouflage	Account size does not override the law.

4. Answer D Concept 3

A project manager sits on a panel scoring vendor bids. One bidder is owned by her brother-in-law. She is confident she can be fair ~~and has 12 years of procurement experience.~~ What should she do?

Target word: handling a conflict of interest **Decides:** A family tie to a bidder.

A	Camouflage	Experience does not remove the conflict or its appearance.
B	Dropped element	Drops recusal from the decision.
C	Inverted operation	Biased in the other direction is still biased.
D	Correct	Disclosure and recusal protect the process.

5. Answer A Concept 4

A project is three weeks behind. The project manager's supervisor, ~~who is up for promotion next month~~, asks her to report it as green to the steering committee. ~~The office is moving to a new floor.~~ What should the project manager do?

Target word: ethical reporting **Decides:** The project is actually three weeks late.

A	Correct	Honest, timely reporting lets leaders make good decisions.
B	Adjacent category	A partial truth still misstates the status.
C	Absolute language	Each person remains responsible for honest reporting.
D	Confusion set	Delayed disclosure is still a false report.

6. Answer C Concept 5

A project manager from a highly individualistic culture leads a team from a strongly collectivist culture. She plans to motivate them by publicly naming one “top performer” each week. ~~The team works in a newly renovated office near the harbor.~~ What is the likely problem?

Target word: cultural fit of recognition **Decides:** Collectivist team values group harmony.

A	Adjacent category	A different cultural dimension than the one the stem describes.
B	Absolute language	Motivators vary by culture.
C	Correct	Collectivist cultures prefer shared credit.
D	Inverted operation	That describes an individualistic team.

7. Answer B Concept 5 · transfer

Which behavior is most typical of a highly individualistic culture?

Target word: work backward from dimension to behavior **Decides:** Individualism = personal achievement and self-expression.

A	Confusion set	That is high-context communication.
B	Correct	Core individualist behavior.
C	Adjacent category	That is high power distance.
D	Inverted operation	That is collectivist.

8. Answer C Concept 6

A project manager emails a partner team in a high-context culture: “Your deliverable is late and unacceptable.” ~~The partner team's lead has a doctorate in engineering.~~ The partners go quiet. What most likely went wrong?

Target word: cause of breakdown **Decides:** Blunt, explicit criticism to a high-context audience.

A	Camouflage	Education level does not explain the reaction.
B	Absolute language	The issue was the tone, not the channel.
C	Correct	Directness can damage trust in high-context settings.
D	Inverted operation	The opposite of the problem.

9. Answer D Concept 6 · transfer

A stakeholder from a low-context culture is most likely to prefer which kind of message?

Target word: work backward from culture to preference **Decides:** Low-context = explicit words carry the meaning.

A	Adjacent category	Face-saving indirectness is a high-context norm.
B	Inverted operation	That is high-context.
C	Confusion set	Typical of high-context, relationship-first cultures.
D	Correct	Low-context communicators want meaning stated plainly.

10. Answer D Concept 7

A project manager runs a retrospective with a team from a high-power-distance culture and asks junior members to openly critique the senior architect's design. ~~The meeting is held on a video platform the company adopted last year.~~ No one speaks. What would likely work better?

Target word: adapt for power distance **Decides:** Juniors are reluctant to challenge a senior person in public.

A	Absolute language	Forcing public critique ignores the cultural norm.
B	Camouflage	The tool is not the barrier.
C	Inverted operation	Silence here signals deference, not agreement.
D	Correct	Lowers the risk of openly challenging a superior.

11. Answer B Concept 7 · transfer

In a low-power-distance culture, how are employees most likely to relate to managers?

Target word: work backward from dimension to behavior **Decides:** Low power distance = flatter relationships.

A	Inverted operation	That is high power distance.
B	Correct	Low power distance means less deference to rank.
C	Adjacent category	That is collectivism.
D	Confusion set	That is high uncertainty avoidance.

12. Answer A Concept 8

During contract negotiations abroad, a vendor offers the project manager an expensive watch “as a local custom of hospitality.” ~~The vendor's headquarters is in a historic district.~~ The project manager's company caps gifts at \$50. What should the project manager do?

Target word: response to a gift **Decides:** The gift exceeds policy and comes during a pending decision.

A	Correct	Policy and anti-bribery rules apply regardless of custom.
B	Absolute language	Modest hospitality within policy is usually acceptable.
C	Confusion set	Reciprocating does not remove the conflict.
D	Adjacent category	Culture explains a norm but does not override law or policy.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owled.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	1	
Wrong stem number	A figure copied from the prompt that is not the answer.	0	
Adjacent category	The right idea in the wrong bucket.	8	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	9	
Absolute language	Always, never, guarantee — where judgment applies.	7	
Confusion set	Every option is real; the test is exact role-matching.	6	
Camouflage	Answers a stem fact that was never the question.	5	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Contract type and risk allocation	Fixed-price puts cost risk on the seller and needs a well-defined scope; cost-reimbursable puts cost risk on the buyer; time-and-materials sits between.	Thinking the buyer absorbs cost increases on a fixed-price deal.	A contract type plus a cost change.
2	Regulatory compliance as a constraint	Legal and regulatory requirements are non-negotiable scope constraints; schedule or scope must adjust around them.	Letting a client or deadline waive a legal requirement.	A request to skip a required review.
3	Conflict of interest	Disclose any real or apparent conflict and remove yourself from the related decision.	Believing personal fairness makes disclosure unnecessary.	A relative or financial tie to a bidder or decision.
4	Honesty in reporting	Report project status truthfully and on time, with a plan to recover, even under pressure.	Softening or delaying bad news to protect someone.	A request to report “green” on a late project.
5	Individualism vs. collectivism	Individualistic cultures value personal achievement and self-expression; collectivist cultures value group harmony and shared credit.	Assuming public individual praise motivates everyone.	Recognition or credit practices across cultures.
6	High-context vs. low-context communication	Low-context cultures rely on explicit words; high-context cultures rely on relationship, setting, and indirect meaning, and value saving face.	Thinking more bluntness fixes a cross-cultural problem.	A direct message that led to silence or withdrawal.
7	Power distance	In high-power-distance cultures, people defer to seniority and rarely challenge superiors openly; in low-power-distance cultures, people expect to question decisions.	Reading silence as agreement.	Junior staff asked to critique a senior person in public.
8	Gifts and anti-bribery	Gifts that exceed policy or could influence a decision must be declined or reported; local custom does not override law or company policy.	Accepting because it is “the custom here.”	A valuable gift during a negotiation or award.

Course scope (public description): In Legal, Ethical, and Cultural Considerations in Project Management, learners will delve into the multifaceted aspects of legal, ethical, and cultural considerations that shape project management practices. By exploring the intersection of legal and regulatory standards with project activities and deliverables, learners will navigate complex compliance issues and risk management strategies. Through engaging discussions on ethical behavior in project leadership and decision-making, learners will cultivate a foundation of integrity and ethical decision-making principles essential for effective project management. Furthermore, learners will explore the impact of cultural considerations on project stakeholder communication, emphasizing the importance of cultural sensitivity and inclusivity in fostering collaborative relationships and ethical decision-making processes within diverse project environments.